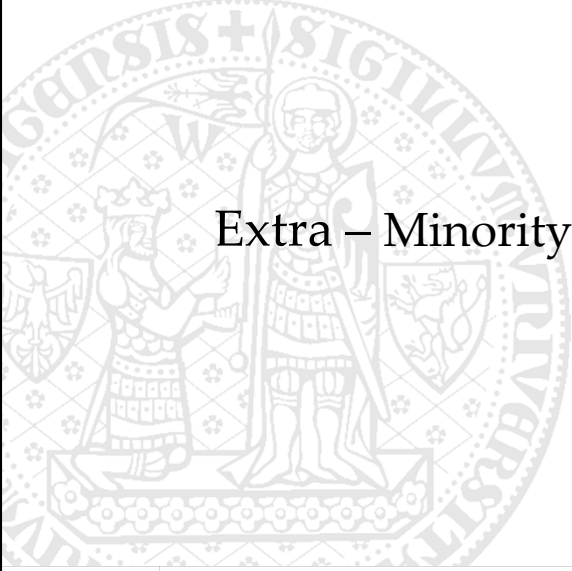




Extra – Minority Interest



Minority Interest

Definition

“Minority interest (or non-controlling interest) is the portion of a subsidiary corporation’s stock that is not owned by the parent corporation. The magnitude of the minority interest in the subsidiary company is generally less than 50% of outstanding shares, otherwise the corporation would generally cease to be a subsidiary of the parent. Minority interest belongs to other investors and is reported on the consolidated balance sheet of the owning company to reflect the claim on assets belonging to other, non-controlling shareholders.”

wikipedia.com



Balance Sheet

- **Minority Interest**

- SubCo has assets of 1,000 and liabilities of 400.
- 75% of SubCo purchased by MajorCo.
- 25% of SubCo owned by MinorCo.
- Assume market values of assets and liabilities are equal to book values and MajorCo paid no premium over market values to buy the 75% stake.

SubCo	book value	market value
As	1,000	1,000
Li	400	400
Eq	600	600

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Balance Sheet

- **Minority Interest**

1. *no consolidation*
 - All three firms report BS separately. **X**
2. *proportional consolidation*
 - MajorCo reports 75% of SubCo's As and Li, MinorCo reports the remaining 25% **X**
3. *consolidation with minority interest*
 - Parent reports all SubCo's As and Li on its BS and recognizes MinorCo's MI in its Eq. **✓**

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Balance Sheet

- **Minority Interest**
 - book value of net assets
 - $BV(NA) = As - Li = 1000 - 400 = \underline{600}$
 - $BV(75\% NA) = 0.75 \cdot 600 = \underline{450}$
 - purchase price
 - $P(75\% NA) = MV(75\% NA) = \underline{450}$
 - minority interest
 - $MI = 0.25 \cdot BV(NA) = 0.25 \cdot 600 = \underline{150}$

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Balance Sheet

- **Minority Interest**
 - $MI = (\text{revalued net assets} + \text{goodwill}) - \text{purchase price}$

Balance Sheet		Income Statement	
Assets	Liabilities, Equity	Expenses	Revenues
cash			
① 450			
identifiable assets			
① 1,000			
	liabilities		
	① 400		
	minority interest		
	① 150		

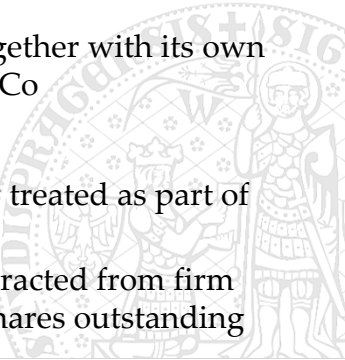
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Balance Sheet



- **Minority Interest**
 - consolidation with minority is equivalent to:
 - MajorCo raises Eq of 150 (25% of 600) of from MinorCo *and*
 - MajorCo uses the 150 together with its own capital of 450 to buy SubCo
- **Treatment in Valuation**
 - minority interest is usually treated as part of equity in computing ROE
 - minority claim is then subtracted from firm value before dividing by shares outstanding



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